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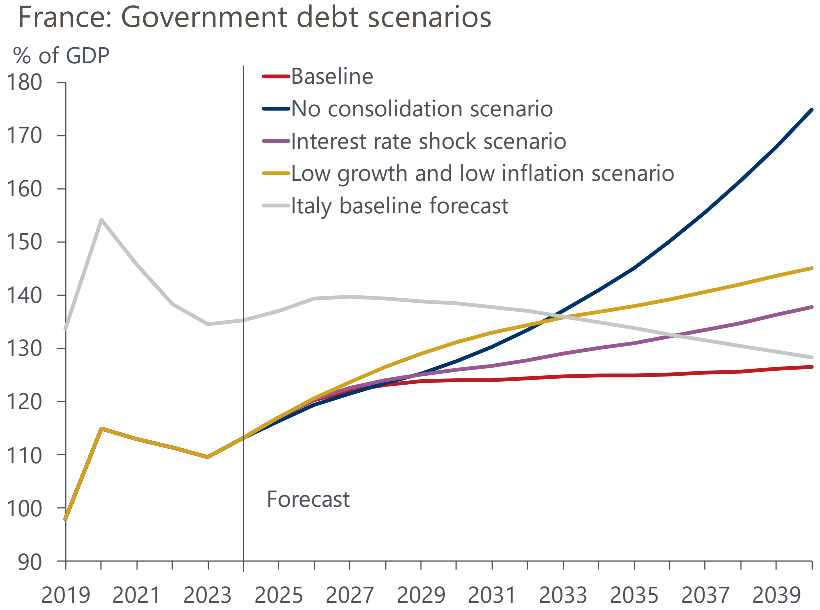
Research Briefing | France

France's debt burden is set to become much heavier

- **By 2035, we expect France's public debt to approach 125% of GDP, up from 113% in 2024 and among the highest in advanced economies. Given the current political impasse, meaningful fiscal consolidation is unlikely before the 2027 presidential election. Even after that, we expect it to be gradual, keeping debt on an upward path and France's vulnerability to shocks elevated.**
- **France's favourable past debt dynamics have masked its persistent fiscal slippage versus peers such as Italy. Since its borrowing costs are now higher and its potential growth is weaker, France's debt dynamics are deteriorating. Delaying fiscal consolidation only increases the sharpness of the eventual adjustment that will be needed.**
- **Our already negative baseline is overwhelmingly surrounded by downside risks that could compound, raising the need for an ECB backstop. A prolonged political deadlock that prevents fiscal consolidation could push debt to around 145% by 2035, above Italy's 138%.**
- **Other risks are also adverse. Higher interest rates prompted by weak fiscal consolidation, political shocks, or wider term premia could, in isolation, add about 6ppts of GDP to 2035 debt. Medium-term growth risks are also negative: political paralysis could stall reforms, curbing investment and hiring. A weak growth and low inflation path would lift debt around 13ppts above our baseline by 2035.**

Chart 1: The debt path will be most sensitive to the pace of fiscal consolidation



Sources: Oxford Economics, Haver Analytics

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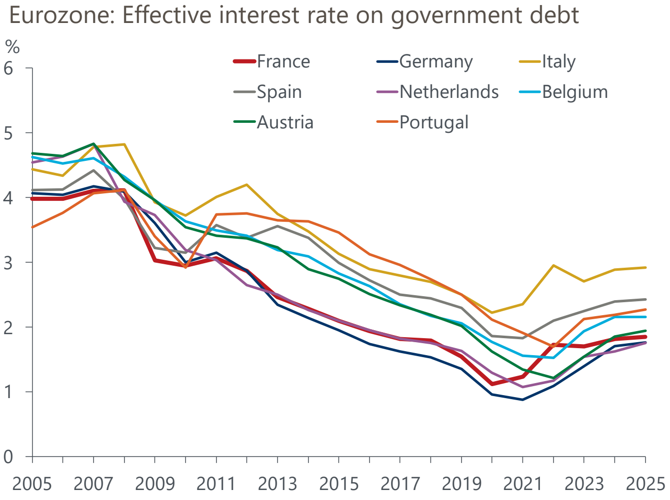
France's debt sustainability has long benefitted from low borrowing costs

France’s debt sustainability metrics remain relatively favourable, despite persistently high deficits and rising government debt, as the interest paid on its stock of debt is still low. Although spreads have widened, interest payments as a share of GDP are in the middle of the pack among Eurozone countries in 2025, and the effective interest rate it pays on its debt remains lower than most (**Chart 2**).

Chart 2: France's effective interest rate remains comparatively low in 2025



Sources: Oxford Economics, Haver Analytics

This is because France's debt, with a long average maturity of 8.5 years, is still benefitting from the low-interest-rate era of the late 2010s and early 2020s, during which the government was able to borrow at near-zero nominal rates. In addition to the general low-rate environment, France benefitted at that time from bond market leniency, as its debt was seen as much safer than that of the periphery Eurozone countries, despite fiscal metrics that were already poor.

France's debt burden is set to increase markedly in the medium term

However, we expect France's government debt dynamics to worsen substantially over the coming years, as previously supportive fundamental factors reverse. That said, France's long debt maturity and favourable starting point mean the impact will only be gradual.

France's government borrowing rates are now at their highest level since the Eurozone crisis (**Chart 3**), due to both global and France-specific forces. A rise in the term premium has pushed up yields everywhere. However, France is the only Eurozone country to have experienced rising spreads at the same time – spread compression in other markets has largely offset the impact of the higher term premium. We expect this higher-rate situation to persist, with 10-year borrowing rates stabilising near 3.7% in the long term. The higher term-premium is here to stay, and domestic political instability likely means there won't be a return to the bond market leniency France enjoyed in the 2010s, leaving its spread durably higher than anywhere except Italy. Higher borrowing costs will thus gradually feed through to the existing stock of debt and increase the debt burden.

Worsening macroeconomic fundamentals will likewise contribute to a heavier debt burden. France's nominal growth showed resilience in the 2010s, but we expect potential growth to drop below 1% by 2030 as the working-age population starts to shrink, and we don't expect an acceleration in productivity growth from today's tepid pace. At the same time, inflation is set to remain substantially below target at least this year and the next, adding to the debt burden in real terms.

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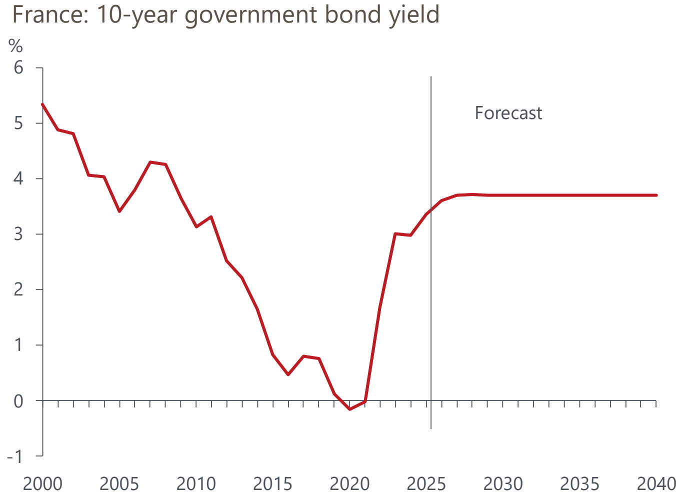
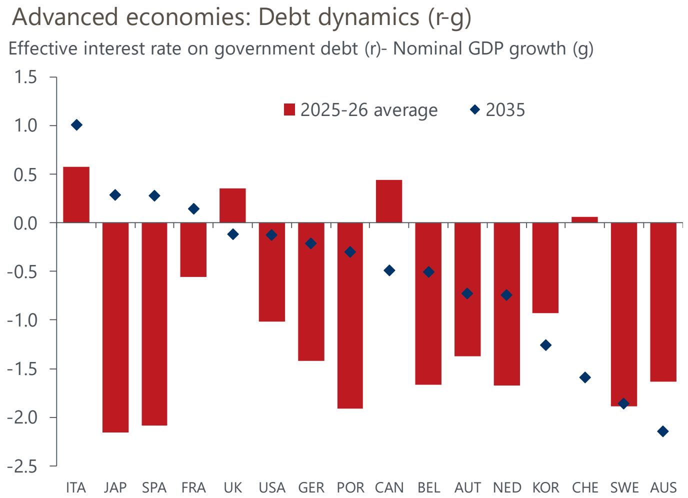
Chart 3: Borrowing rates are near historical highs and aren't set to fall



Sources: Oxford Economics, Haver Analytics

As a result of these combined trends, the so-called snowball effect, which is the difference between the average effective interest rate on government debt (r) and the nominal rate of growth (g), is set to steadily deteriorate from a favourable position, with r-g turning positive in the early 2030s. By 2035, we expect France's debt dynamics to be among the worst in advanced economies (**Chart 4**), mainly due to the projected rise in the effective interest rate, which is set to be higher than nearly anywhere else. The adverse debt dynamics that this implies mean that France will have to run primary surpluses (the fiscal balance excluding interest payments) simply to stabilise its debt as a share of GDP. This contrasts sharply to the situation since the late 2010s, when the debt stabilising primary balance has been around -1% of GDP, while the primary balance itself hasn't been positive since the early 2000s. This is very different from Italy, for example, which has been forced to run persistent primary surpluses since the 2000s due to the weight of past borrowing.

Chart 4: France's debt dynamics will be some of the worst among advanced economies by 2035



Sources: Oxford Economics, Haver Analytics

Therefore, although we don't expect a debt crisis in the near term, a 'slow death' scenario, resembling Italy today, is highly likely in the medium term, with interest rates durably above nominal growth, putting debt on a spontaneous upward path and gradually eroding fiscal headroom. As in Italy, this will harm growth, as the legacy of high debt forces fiscal policy to tighten further to offset the weight of interest payments. Our baseline thus has France's government debt rising steadily in the medium to long term and exceeding Italy's in the 2040s, with the interest payments a key contributor to the increase in debt from the 2030s

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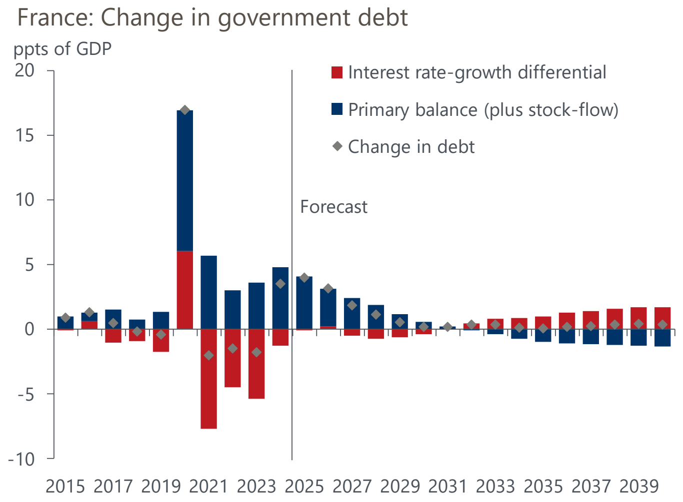
(**Chart 5**). Crucially, our baseline envisages debt continuing to rise despite our expectation of substantial improvements in the primary balance, with France projected to run primary surpluses from 2035, a sharp improvement from today's deep deficit.

Chart 5: Government debt will continue to rise as higher interest rates gradually feed through



Sources: Oxford Economics, Haver Analytics

Conditions for fiscal consolidation are likely to become more favourable after the presidential election, but this isn't guaranteed

Even this relatively adverse baseline scenario is beset by risks that are overwhelmingly to the downside. A key uncertainty is whether deadlocked politics will allow the fiscal consolidation that we eventually expect to happen.

We see very little chance of witnessing meaningful consolidation in the current fractured National Assembly, as the row over the 2026 budget shows. Beyond that, we think the best opportunity to break the deadlock and conduct deficit reduction will come in the wake of the 2027 presidential election. The newly elected president, benefitting from a fresh mandate and political momentum, will likely trigger snap legislative elections, which have historically tended to deliver strong majorities when held right after presidential votes. Although French politics are more fractured than ever before and the current model of three main blocs is likely to persist (in contrast to the historical two-party divide), the composition of the Assembly will likely be more favourable than today's near-perfect three-way split. A stronger majority would increase the chance of fiscal consolidation, regardless of whether a mainstream party or the far right wins the election – the example of Italy illustrates that populist parties can prove fiscally responsible once in power.

Even if the National Assembly remains as fractured as it is today, the electoral cycle should be more supportive of fiscal consolidation. Political parties are currently focused on the crucial presidential election in a year and a half and are reluctant to endorse politically costly fiscal consolidation measures that may harm their chances. As such, the room for compromise will increase once the election has passed, as French political parties also gradually adapt to the concessions required in the absence of an overall majority. This is consistent with the traditional political economy finding that fiscal consolidation is more likely to occur after key electoral deadlines as well as with France's most recent sustained deficit-reduction effort under President Francois Hollande between 2012 and 2015.

Despite this, a continuation of the current deadlock is also a distinct risk, compromising any meaningful fiscal consolidation. If the next presidential election fails to supply adequate conditions to conduct fiscal consolidation, a degree of bond market stress will be the main remaining adjustment mechanism. The increasing weight of interest payments will also make fiscal consolidation even more painful, as the primary balance will have to improve significantly faster than the overall government balance to offset the ballooning debt costs, projected to rise from 2.2% of GDP to 3.7% by 2035 (**Chart 6**). This comes on top of

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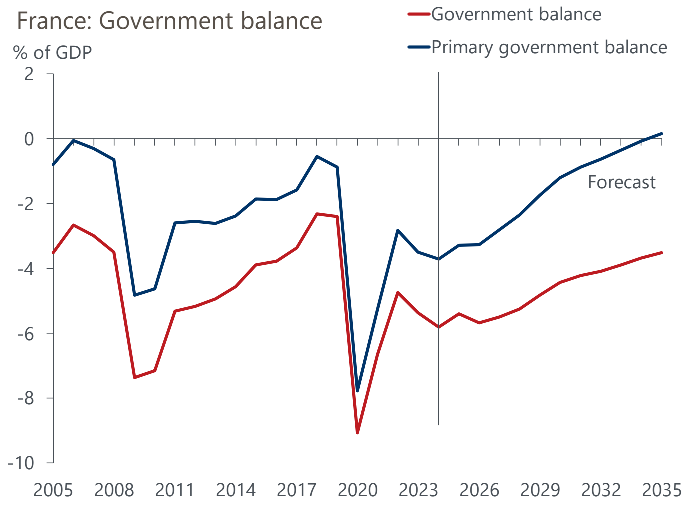
other spending pressures, including on defence, on the green transition, and to deal with the implications of the ageing population.

Chart 6: Our baseline still features substantial fiscal consolidation from 2027



Sources: Oxford Economics, Haver Analytics

Other risks to debt sustainability are also adverse

Additional upward pressure from borrowing rates is a second key source of risk. Our most recent modelling sees French spreads stabilising at 90bps, a higher level than today as fiscal fundamentals worsen further. However, spreads gradually widening further as the pace of fiscal consolidation disappoints even markets' modest expectations is a possibility. A political upset, typically during France's 2027 presidential election, could also trigger bond market stress.

Growth could disappoint and make debt harder to sustain. We see France's output gap as slightly negative at present, implying that growth will benefit from some catch-up dynamics from 2027. But uncertainties around such estimates are always high, and the economy may not have as much rebound potential as we expect. Looking further ahead, fragile productivity figures since the pandemic mean that France's long-term growth could fall below 1% earlier than expected. More radically, although unpredictable by nature, a macroeconomic shock is more likely than not over a 10-year horizon, with recessions occurring around every eight years on average. This would cause debt to further deviate from our current forecast.

Finally, lower inflation would also make interest payments heavier in real terms. Weak wage growth means that core inflation will likely undershoot the ECB's target this year and the next, but we don't expect the central bank to ease policy given stronger price pressure in other Eurozone economies such as Germany and Spain. A durably asymmetric inflation scenario, where inflation stays below target in France but short-term rates remain unchanged due to higher price pressure elsewhere, especially in the context of Germany's fiscal stimulus plan, would significantly worsen debt dynamics.

Debt dynamics are most sensitive to the pace of fiscal consolidation

We built three alternative scenarios to assess how these risks can impact France's debt path using our Global Economic Model (GEM).

The first scenario describes what happens if no fiscal consolidation takes place due to political paralysis. In the absence of corrective measures, government expenditure grows by 1.3% in volume every year, as in 2025, while tax rates stay the same.

The second scenario illustrates the impact of an exogenous permanent 100bps shock on long-term borrowing rates from 2026, with 10-year yields stabilising around 4.8% in the long term.

The third scenario assumes a more adverse macroeconomic environment: France's medium-term growth potential proves lower than expected, with GDP growth averaging 1% and inflation subdued at 1.2% from 2026 to 2030, before both rates converge towards the baseline.

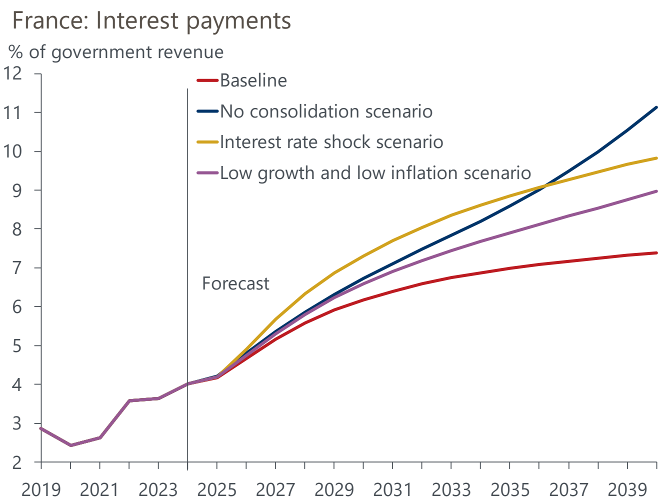
In the second and third scenarios, the fiscal consolidation effort is broadly the same as in the baseline, with government expenditure growing at the same pace in volume and tax rates unchanged.

The results show that, looking 10 years ahead, the primary balance remains the most impactful variable in terms of France's debt path. Without fiscal consolidation, debt would reach 145% of GDP by 2035, 20ppts above the baseline, having surpassed Italy's a couple of years earlier (**Chart 1**). With interest payments as a share of government revenue growing at an exponential pace (**Chart 7**), this would put France's debt on an obviously unsustainable trajectory and would eventually compromise market access, forcing action. This shows that, if the political deadlock extends beyond the 2027 presidential election and blocks consolidation, France will quickly run out of time to put its fiscal house in order.

In the shorter term, a weaker economic environment would weigh most heavily on French debt over the next five years. This is because we don't expect rapid fiscal consolidation in the short term, which limits the adverse impact of the first scenario, while our baseline does assume a meaningful growth pick-up and a normalisation of inflation from 2027, helping reduce the debt burden. As such, the weaker-growth and low-inflation scenario sees debt reaching 130% of GDP as early as 2030 and exceeding 140% of GDP by 2040. Interestingly, in this scenario, the impact of lower inflation on debt is around twice that of weaker activity, highlighting the risk of prices remaining durably below target.

Meanwhile, our scenario analysis also shows that an interest rate shock alone wouldn't radically compromise debt sustainability for the foreseeable future, as the shock would take time to feed through the stock of debt. Total debt would be only 6ppts of GDP higher than in the baseline by 2035.

Chart 7: Interest payments will become unsustainable if consolidation doesn't take place



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